Air France-KLM

FY2025 · Network airline · reporting currency EUR · peer group: Network airlines

Credit tearsheet
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Analyst: Imane

SNAPSHOT

Air France-KLM, the network airline group spanning Air France and KLM, grew revenue by **4.9%** to **EUR 33.0bn** in FY2025, with the EBITDA margin widening by **2.2 points** to **15.3%**.

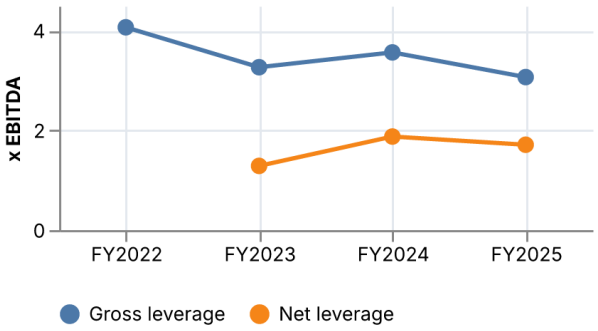
Net leverage fell by **0.17x** to **1.71x**, in line with the peer median, even as net debt rose by **12.3%** to **EUR 8.7bn**.

The point to watch is cash liquidity: cash liquidity to revenue fell by **1.2 points** to **20.8%**, below the peer median, while capex intensity rose by **1.6 points** to **13.5%**.

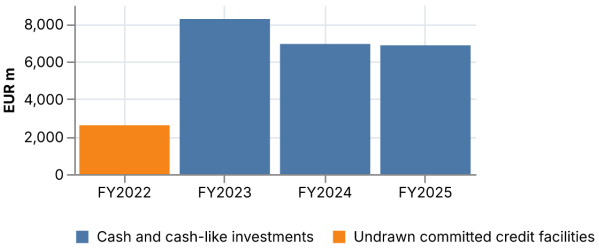
KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	EUR 26.4bn	EUR 30.0bn	EUR 31.5bn	EUR 33.0bn
EBITDA	EUR 3.6bn	EUR 4.2bn	EUR 4.1bn	EUR 5.1bn
EBITDA margin	13.7%	13.9%	13.1%	15.3%
Total debt	EUR 14.7bn	EUR 13.6bn	EUR 14.6bn	EUR 15.5bn
Net debt	*n.a.*	EUR 5.4bn	EUR 7.7bn	EUR 8.7bn
Net leverage	*n.a.*	1.29x	1.88x	1.71x
Gross leverage	4.07x	3.27x	3.56x	3.07x
Interest coverage	6.36x	6.96x	6.51x	8.06x
FFO to debt	20.3%	24.6%	23.4%	27.4%
Free cash flow	EUR 1.9bn	EUR 55.0m	EUR −232m	EUR 606m
FCF to debt	12.8%	0.4%	−1.6%	3.9%
Capex intensity	11.3%	11.8%	11.9%	13.5%
Liquidity	*n.a.*	*n.a.*	*pending*	*pending*
Liquidity to revenue	*n.a.*	*n.a.*	*pending*	*pending*

LEVERAGE



LIQUIDITY



CREDIT METRICS

EBITDA increased by **23.0%** to **EUR 5.1bn**, and operating profit rose by **36.6%** to **EUR 2.0bn** as depreciation, amortisation and impairment grew by **15.6%** to **EUR 3.1bn**.

Total debt rose by **5.9%** to **EUR 15.5bn**, but gross leverage fell by **0.49x** to **3.07x** on the larger earnings base.

Interest coverage improved by **1.55x** to **8.06x**, with finance costs broadly unchanged at **EUR 627m**.

FFO rose by **24.1%** to **EUR 4.3bn**, lifting FFO to debt by **4.0 points** to **27.4%**, and free cash flow turned positive at **EUR 606m** as cash from operations grew by **44.6%** to **EUR 5.1bn**.

FCF to debt improved by **5.5 points** to **3.9%**, held back by capex of **EUR 4.4bn**, up **19.3%**.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).
EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.
EBITDA margin: EBITDA ÷ revenue.
Total debt: Borrowings + lease liabilities, current and non-current.
Net debt: Total debt − cash and cash-like investments. Negative means net cash.
Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.
Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.
Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.
FFO to debt: FFO ÷ total debt.
Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).
FCF to debt: Free cash flow ÷ total debt.
Capex intensity: Purchases of PP&E and intangibles ÷ revenue.
Liquidity: Cash + cash-like investments + undrawn committed facilities.
Liquidity to revenue: Liquidity ÷ revenue.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	*n.a.*	93.6m	98.0m	*n.a.*
Advance ticket cover	*n.a.*	46.7%	59.1%	62.2%

Revenue grew by **4.9%** to **EUR 33.0bn**, with the EBITDA margin at **15.3%** against **13.1%** in FY2024.

Capex intensity rose by **1.6 points** to **13.5%**, above the peer median of **10.4%**, as the group invested in its fleet.

In FY2024 the group carried **98.0m** passengers with a fleet of **564** aircraft at an average age of **12.1 years**.

PEERS: NETWORK AIRLINES, PEER YEAR 2025

	AF-KLM	IAG	Finnair	Median
EBITDA margin	**15.3%** (2)	23.0% (1)	13.1% (3)	15.3%
Net leverage	**1.71x** (2)	0.78x (1)	1.77x (3)	1.71x
Gross leverage	**3.07x** (2)	1.86x (1)	4.37x (3)	3.07x
Interest coverage	**8.06x** (2)	11.49x (1)	4.98x (3)	8.06x
FFO to debt	**27.4%** (2)	45.5% (1)	18.0% (3)	27.4%
FCF to debt	**3.9%** (3)	22.1% (1)	10.8% (2)	10.8%
Capex intensity	**13.5%**	10.4%	6.7%	10.4%
Cash liquidity to revenue (partial)	**20.8%** (3)	25.0% (2)	34.2% (1)	25.0%
Liquidity to revenue	*pending*	33.0% (2)	40.6% (1)	36.8%
Advance ticket cover	**62.2%** (1)	96.6% (3)	67.4% (2)	67.4%
Fuel share of costs	*n.a.*	25.1%	28.9%	27.0%
Load factor	*n.a.*	*pending*	*pending*	n.a.
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

Air France-KLM sits in the middle of the network group on EBITDA margin, net leverage, gross leverage, interest coverage and FFO to debt, each ranking **2nd of 3**.

Its strongest position is advance ticket cover, the lowest of the group (**1st of 3**), against a peer median of **67.4%**.

It is weakest on cash generation and liquidity, with FCF to debt against a peer median of **10.8%** (**3rd of 3**) and cash liquidity to revenue the lowest of the group (**3rd of 3**).

LIQUIDITY AND FUNDING

Cash and cash-like investments were stable at **EUR 6.9bn**, a change of **1.1%** on FY2024.

Cash liquidity to revenue fell by **1.2 points** to **20.8%**, below the peer median of **25.0%**.

Contract liabilities rose by **4.1%** to **EUR 4.3bn**, and advance ticket cover increased by **3.1 points** to **62.2%**, so a larger share of cash is customer prepayments.

Funding activity included senior unsecured bonds placed under the EMTN programme and the redemption of the outstanding hybrid bonds from the hard call date, while the maturity of the Air France-KLM and Air France credit facility was extended.

WATCH ITEMS

- Cash generation: FCF to debt of **3.9%** is the weakest of the group (**3rd of 3**) and below the peer median of **10.8%**, with capex intensity at **13.5%** above the peer median.
- Liquidity: cash liquidity to revenue fell by **1.2 points** to **20.8%**, the lowest of the group (**3rd of 3**).
- Debt: net debt rose by **12.3%** to **EUR 8.7bn** and total debt by **5.9%** to **EUR 15.5bn**, so leverage depends on EBITDA holding at **EUR 5.1bn**.
- Customer prepayments: advance ticket cover rose by **3.1 points** to **62.2%**, so a larger part of the cash balance is refundable if bookings slow.

ANALYST VIEW

Improving credit from a still-leveraged base. Higher EBITDA (EUR 5.1bn, margin up 2.2 points to 15.3%) took net leverage down to 1.71x and interest coverage up to 8.06x, even as net debt rose to EUR 8.7bn.
Free cash flow turned positive at EUR 606m but stays thin against the fleet programme: FCF to debt of 3.9% is the weakest of the network peers. Cash covers 20.8% of revenue, also the lowest of the group, and advance ticket sales equal 62.2% of it.
The 2025 refinancing (EMTN bonds, hybrid redemption, credit facility extended) supports the maturity profile. Further deleveraging needs EBITDA to hold above EUR 5bn while capex stays high.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.

Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).

Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.

Fuel share of costs: Fuel cost ÷ (revenue − operating profit).

Load factor: RPK ÷ ASK.

Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.

pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.

n.a.: not available for that year.

Sources: FY2022 filing · FY2024 filing · FY2024 statements entered by hand (PDF) · FY2025 statements entered by hand (PDF) · report 2025.12-air-france-klm-consolidated-financial-statements-and-notes.pdf. Peers' filings and every fingerprint: Excel backup, Manifest sheet.

Manifest: 96 source figures from 11 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7, fact sheet e4bef16a5386; code 144730e7036d; exported 2026-11-11 11:39 UTC.

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